

BAHAGHARI RETAIL CO.

Executive Summary — Sales Performance 2025

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Evidence-Based Insights

1. Luzon Dominates Regional Sales, but Mindanao Lags Significantly

Sales by region reveal a pronounced concentration in Luzon (₱24K), followed by Visayas (₱19K), with Mindanao trailing at ₱13K, approximately 46% below Luzon. At the branch level, Bahaghari Davao leads all locations at ₱12.9K, yet Mindanao's aggregate regional figure remains the lowest, suggesting that coverage and branch count in the region are insufficient relative to its sales potential. The disparity indicates an uneven geographic footprint that may be leaving revenue on the table.

2. Mid-Year Sales Slump Signals a Seasonal Vulnerability

Monthly sales data shows a sharp contraction in August 2025. While recovery is evident, the severity of the dip points to a structural seasonal pattern rather than an isolated anomaly. The Q3 trough aligns with post-school-opening and pre-holiday transitions in the Philippine retail calendar, during which consumer spending on essential goods tends to be deferred.

3. Groceries Drive Revenue, but Category Diversification Remains Narrow

The Sales by Category donut chart shows Groceries commanding the majority share (₱27K), with Beverages (₱13K) and Personal Care (₱8K) as secondary contributors, and Snacks contributing the least (₱7K). At the product level, Rice 5kg and Cooking Oil 1L are dominating. This heavy concentration in staple grocery items indicates that the business is highly dependent on low-margin, price-sensitive commodities. Personal Care and Snacks, categories with typically higher margins, remain underdeveloped.

Strategic Recommendation

Management is advised to implement a phased Mindanao Expansion and Seasonal Stabilization Plan with the following priorities:

- Open 1–2 additional branches in high-density Mindanao cities (e.g., Cagayan de Oro, General Santos) to close the ₱11K revenue gap with Luzon over the next fiscal year.
- Introduce targeted mid-year promotions (July–August), such as bundle deals and loyalty incentives, to cushion the seasonal dip and sustain transaction volume during the Q3 slowdown.
- Expand Personal Care and Beverage SKU depth across all branches to reduce dependence on low-margin staples and improve overall gross margin mix.
- Standardize the performance of lower-tier branches (Bahaghari Caloocan, ₱6.5K) through peer-benchmarking against top-performing outlets (Bahaghari Davao, ₱12.9K), focusing on inventory management and local promotional execution.